Annex III. Public Sector Debt Sustainability Analysis

Table 1. Kuwait: Public Debt Sustainability Analysis (DSA)-Baseline Scenario

(In percent of GDP unless otherwise indicated on a calendar-year basis)

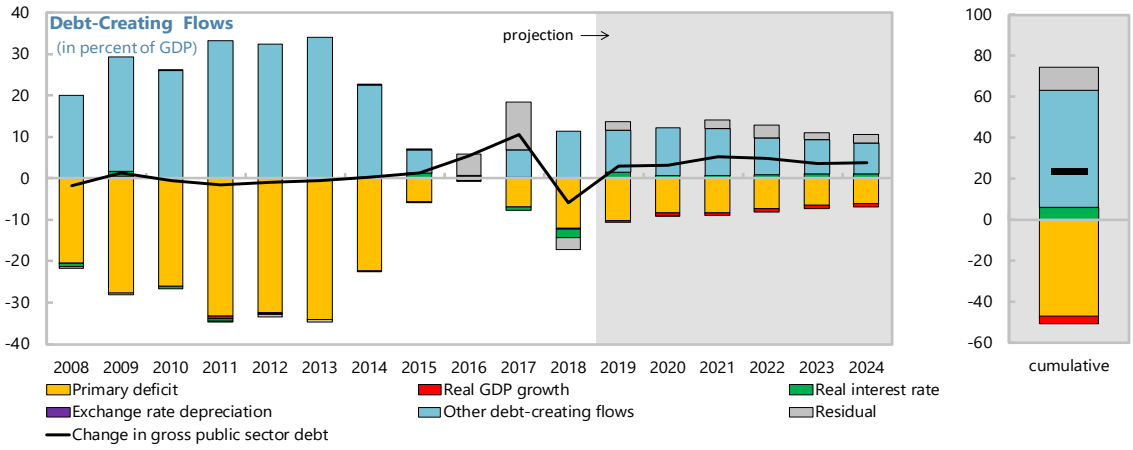
Debt, Economic and Market Indicators [1/]

	Actual			Projections					
	2008-2016 [2/]	2017	2018	2019	2020	2021	2022	2023	2024
Nominal gross public debt	5.3	20.7	14.8	17.8	21.0	26.2	31.1	34.7	38.4
Public gross financing needs	-21.7	-5.7	-11.1	-5.5	-6.1	-6.0	-3.8	-4.1	-3.9
Real GDP growth (in percent)	1.6	-3.5	1.7	2.5	2.9	2.9	2.5	2.7	2.9
Inflation (GDP deflator, in percent)	-0.2	13.7	15.4	-5.2	1.5	1.7	1.7	1.9	2.2
Nominal GDP growth (in percent)	1.7	9.7	17.4	-2.9	4.4	4.6	4.3	4.7	5.1
Effective interest rate (in percent) [4/]	2.6	4.2	3.7	4.8	5.2	5.5	5.3	5.5	5.5

As of February 01, 2019		
Sovereign Spreads		
EMBIG (bp) 3/		352
5Y CDS (bp)		na
Ratings	Foreign	Local
Moody's	Aa2	Aa2
S&Ps	AA	AA
Fitch	AA	AA

Contribution to Changes in Public Debt

	Actual			Projections							
	2008-2016	2017	2018	2019	2020	2021	2022	2023	2024	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	0.3	10.7	-5.9	3.0	3.2	5.3	4.9	3.6	3.7	23.6	7.5
Identified debt-creating flows	-0.1	-0.9	-3.1	1.0	3.3	3.1	1.7	2.0	1.5	12.4	
Primary deficit	-22.5	-7.0	-12.0	-10.2	-8.5	-8.3	-7.4	-6.6	-6.0	-47.0	
Primary (noninterest) revenue and grants	66.4	58.4	58.4	59.9	58.2	58.5	57.6	56.2	55.0	345.3	
Primary (noninterest) expenditure	43.9	51.5	46.4	49.7	49.7	50.2	50.1	49.6	49.0	298.3	
Automatic debt dynamics [5/]	0.1	-0.5	-2.4	1.2	0.1	0.2	0.3	0.2	0.1	2.2	
Interest rate/growth differential [6/]	0.1	-0.5	-2.4	1.2	0.1	0.2	0.3	0.2	0.1	2.2	
Of which: real interest rate	0.1	-0.8	-2.1	1.6	0.6	0.8	0.9	1.1	1.1	6.0	
Of which: real GDP growth	-0.1	0.3	-0.3	-0.4	-0.5	-0.6	-0.6	-0.8	-1.0	-3.9	
Exchange rate depreciation [7/]	0.0	0.0	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	22.4	6.6	11.3	10.0	11.6	11.2	8.8	8.3	7.4	57.3	
Privatization/Drawdown of deposits	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Asset accumulation requirement	22.4	6.6	11.3	10.0	11.6	11.2	8.8	8.3	7.4	57.3	
Residual, including asset changes [8/]	0.4	11.6	-2.8	2.0	-0.1	2.2	3.2	1.6	2.2	11.2	



Sources: CBK, MOF, and IMF staff estimates.

1/ Public sector is defined as general government.

2/ Based on available data.

3/ Long-term bond spread over German bonds.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

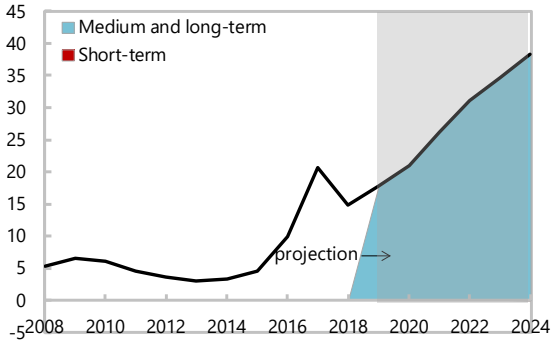
9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year. The debt stabilizing primary balance under the assumed asset accumulation of 7.4 percent of GDP in 2024 is equal to 7.5 percent. Under no asset accumulation, the debt-stablizing primary balance would have been 0.14 percent of GDP.

©International Monetary Fund. Not for Redistribution

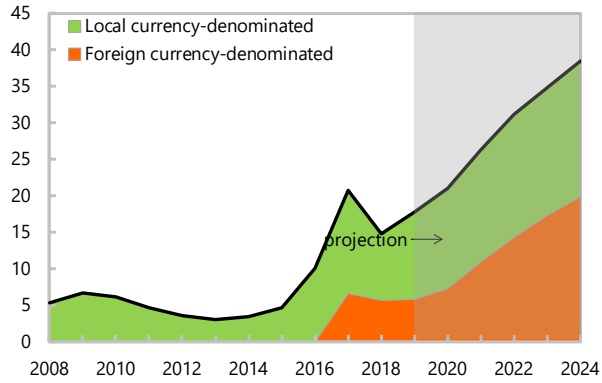
Figure 1. Kuwait: Composition of Public Debt and Alternative Scenarios

Composition of Public Debt

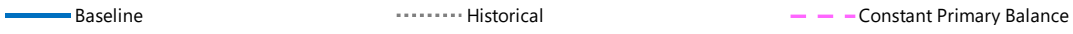
By Maturity
(in percent of GDP)



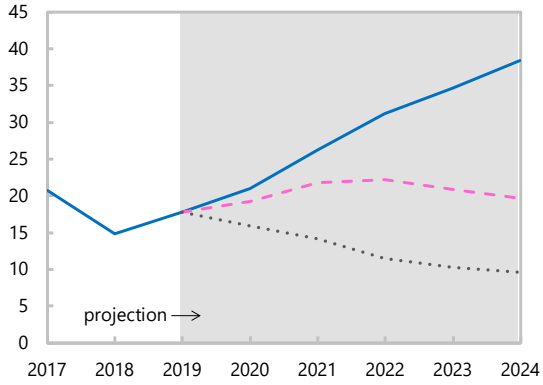
By Currency
(in percent of GDP)



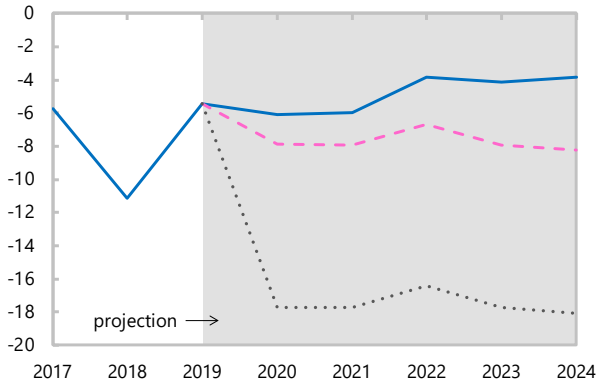
Alternative Scenarios



Gross Nominal Public Debt
(in percent of GDP)



Public Gross Financing Needs
(in percent of GDP)



Underlying Assumptions
(in percent)

Baseline Scenario	2019	2020	2021	2022	2023	2024
Real GDP growth	2.5	2.9	2.9	2.5	2.7	2.9
Inflation	-5.2	1.5	1.7	1.7	1.9	2.2
Primary Balance	10.2	8.5	8.3	7.4	6.6	6.0
Effective interest rate	4.8	5.2	5.5	5.3	5.5	5.5
Constant Primary Balance Scenario						
Real GDP growth	2.5	2.9	2.9	2.5	2.7	2.9
Inflation	-5.2	1.5	1.7	1.7	1.9	2.2
Primary Balance	10.2	10.2	10.2	10.2	10.2	10.2
Effective interest rate	4.8	5.2	6.0	6.3	7.3	8.4

Historical Scenario	2019	2020	2021	2022	2023	2024
Real GDP growth	2.5	1.0	1.0	1.0	1.0	1.0
Inflation	-5.2	1.5	1.7	1.7	1.9	2.2
Primary Balance	10.2	20.1	20.1	20.1	20.1	20.1
Effective interest rate	4.8	5.2	7.3	9.5	13.8	17.2

Source: IMF staff.

©International Monetary Fund. Not for Redistribution